II. Swarnjayanti Gram Swarozgar Yojana

The Swarnjayanti Gram Swarozgar Yojana (SGSY) is a *self-employment* programme with the objective of helping poor rural families cross the poverty line by assisting them to take up income- generating economic activities through a mix of bank credit and government subsidy. The SGSY specially focuses on vulnerable sections among the rural poor with SCs/STs to account for at least 50 per cent and women 40 per cent of the *swarozgaris*. Under the special project component of the SGSY, a placement-linked skill development programme has been taken up – in each district of the country, one Rural Self Employment Training Institute (RSETI) has to be set up for basic and skill development training of rural below poverty line (BPL) youth to enable them to undertake micro-enterprise and wage employment. The SGSY has now been restructured as the *National Rural Livelihoods Mission* (NRLM). The NRLM ***aims*** at reducing poverty by enabling poor households to access gainful self-employment and skilled wage employment opportunities. This should result in appreciable improvement in their livelihoods on a sustainable basis through building strong and sustainable grassroots institutions. The salient features of the NRLM are:

(i) At least one member from each identified rural poor household, preferably a woman, to be brought under the SHG network in a time-bound manner, the ultimate target being 100 per cent coverage of BPL families;

(ii) Setting up of strong institutions of the poor such as SHGs for reducing dependence on external agencies;

(iii) A multi pronged approach envisaged for continuous capacity building of the targeted families, SHGs, their federations, government functionaries, bankers, NGOs, and other key stakeholders;

(iv) Subsidy to be available in the form of revolving fund and capital subsidy as an incentive for inculcating the habit of thrift and accumulation of their own funds towards meeting their credit needs in the long run and immediate consumption needs in the short run;